While no omnibus concept of services taxation existed at the time the Constitution was promulgated, certain specific services were identified for the Union List. Terminal taxes on goods and passengers carried by rail, sea or air, taxes on railway fares and freight, and on advertisements published in newspapers were specifically mentioned in the Union List for taxation by the Centre.

The states' mandate in terms of taxation of goods extended to duties of excise on alcohol for human consumption, opium, Indian hemp and other narcotic drugs and narcotics, excluding medicinal and toilet preparations. States got major indirect tax powers by inclusion of entry taxes on the sale or purchase of goods other than newspapers (subject to some exclusions). States also had powers with respect to taxation on entry of goods into a local area for consumption, use or sale therein and taxes on consumption or sale of electricity.

The list of specific services included in the domain of states was much larger. It included taxes on advertisements other than advertisements published in newspapers (later, advertisements broadcast by radio or television were also excluded from the state list); taxes on goods and passengers carried by road or on inland waterways, taxes on vehicles, whether mechanically propelled or not, suitable for use on roads, including tramcars (subject to some exclusion); taxes on animals and boats; tolls, taxes on professions, trades, callings and employments; capitation taxes; and taxes on luxuries, including taxes on entertainment, amusements, betting and gambling.

Concept of VAT Got Introduced in the 1980s

India's indirect taxation system was cascading. At every stage of manufacture and sale, excise tax, sales tax or both were leviable on the value of goods, inclusive of taxes paid previously. If an item is manufactured and sold at Rs 100, which included inputs purchased of Rs